CLOSING STATEMENT

Verde Parkview Residences | Naperville, IL

Property	Verde Parkview Residences
Settlement Date	June 12, 2021
Buyer	Vireo Income Properties
Seller	Gable Point Capital
Sale Price	$31,460,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$31,460,000			
Earnest money deposit		$64,475	$64,475	
Real estate tax proration	$111,513			$111,513
Rent proration			$184,260	
Security deposits assumed	$252,019	$252,019		
Prepaid rents			$92,684	$92,684
Owner's title policy premium	$259,710			
Lender's title policy premium		$292,361	$292,361	
Escrow fee	$157,115			$157,115
Recording fees			$132,541	
Transfer tax	$149,680	$149,680		
Survey			$228,192	$228,192
Legal fees - Buyer	$290,329			
Legal fees - Seller		$192,577	$192,577	
Broker commission	$47,181			$47,181
Loan origination fee			$238,863	
Lender legal	$166,663	$166,663		
Appraisal fee			$260,299	$260,299
Environmental report	$186,994			
Property condition report		$151,680	$151,680	
Tax escrow deposit	$193,415			$193,415
Insurance escrow deposit			$200,874	
Replacement reserve deposit	$29,789	$29,789		

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$31,460,000			
Legal fees - Seller		$270,462	$270,462	
Broker commission	$275,542			$275,542
Loan origination fee			$288,970	
Lender legal	$146,181	$146,181		
Appraisal fee			$203,481	$203,481
Environmental report	$34,729			
Property condition report		$39,909	$39,909	
Tax escrow deposit	$157,169			$157,169
Insurance escrow deposit			$227,473	
Replacement reserve deposit	$197,774	$197,774		
Utility deposits			$204,679	$204,679
Assumed vendor contracts credit	$277,590			
Tenant improvement credit		$264,553	$264,553	
Courier / wire fees	$92,576			$92,576
Municipal certificates			$12,435	
Purchase price	$307,351	$307,351		
Earnest money deposit			$27,277	$27,277
Real estate tax proration	$75,005			
Rent proration		$199,545	$199,545	
Security deposits assumed	$308,207			$308,207
Prepaid rents			$131,289	
Owner's title policy premium	$89,160	$89,160		
Lender's title policy premium			$230,281	$230,281
Escrow fee	$272,860			
Recording fees		$95,462	$95,462	
Transfer tax	$101,516			$101,516
Survey			$238,690	

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Valuation Discussion

Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $261,000 or approximately 14.32 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. Debt service coverage ratio was 7.57x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.89% reflects the in-place income and the stabilized occupancy assumption. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $391,000, representing a 12.5% increase over the prior year. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses.

Operating Performance

Operating expenses totaled $204,000 or approximately 47.97 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Debt service coverage ratio was 5.41x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. Operating expenses totaled $358,000 or approximately 10.32 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Financial Analysis

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Average in-place rent is $1,825 per month against an average unit size of 932 square feet. Debt service coverage ratio was 6.72x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses.

Operating expenses totaled $473,000 or approximately 13.91 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 8.3% annually with renewal retention above 96.4%. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.80% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,825 per month against an average unit size of 932 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$31,460,000			
Tenant improvement credit		$113,050	$113,050	
Courier / wire fees	$85,375			$85,375
Municipal certificates			$27,647	
Purchase price	$19,671	$19,671		
Earnest money deposit			$158,351	$158,351
Real estate tax proration	$276,386			
Rent proration		$250,398	$250,398	
Security deposits assumed	$111,293			$111,293
Prepaid rents			$238,758	
Owner's title policy premium	$290,840	$290,840		
Lender's title policy premium			$204,632	$204,632
Escrow fee	$16,313			
Recording fees		$97,566	$97,566	
Transfer tax	$100,476			$100,476
Survey			$173,695	
Legal fees - Buyer	$27,345	$27,345		
Legal fees - Seller			$239,681	$239,681
Broker commission	$163,802			
Loan origination fee		$102,617	$102,617	
Lender legal	$195,643			$195,643
Appraisal fee			$302,974	
Environmental report	$114,627	$114,627		
Property condition report			$266,832	$266,832
Tax escrow deposit	$98,340			
Insurance escrow deposit		$108,857	$108,857	
Replacement reserve deposit	$198,880			$198,880
Utility deposits			$153,131	

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Financial Analysis

Operating expenses totaled $64,000 or approximately 15.46 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.40% reflects the in-place income and the stabilized occupancy assumption.

The going-in capitalization rate of 5.87% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $112,000 or approximately 11.12 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $1,825 per month against an average unit size of 932 square feet. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The going-in capitalization rate of 5.99% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $189,000, representing a 8.3% increase over the prior year. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $119,000, representing a 4.8% increase over the prior year. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses.

Valuation Discussion

Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. Resident turnover has averaged 5.1% annually with renewal retention above 96.4%. Operating expenses totaled $381,000 or approximately 41.87 per square foot, with real estate taxes representing the largest line item. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. Operating expenses totaled $277,000 or approximately 43.02 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.76% reflects the in-place income and the stabilized occupancy assumption.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$31,460,000			
Recording fees		$256,661	$256,661	
Transfer tax	$56,714			$56,714
Survey			$18,668	
Legal fees - Buyer	$248,473	$248,473		
Legal fees - Seller			$222,079	$222,079
Broker commission	$222,979			
Loan origination fee		$54,096	$54,096	
Lender legal	$296,411			$296,411
Appraisal fee			$120,314	
Environmental report	$85,728	$85,728		
Property condition report			$259,562	$259,562
Tax escrow deposit	$34,097			
Insurance escrow deposit		$203,438	$203,438	
Replacement reserve deposit	$228,185			$228,185
Utility deposits			$299,379	
Assumed vendor contracts credit	$124,139	$124,139		
Tenant improvement credit			$269,802	$269,802
Courier / wire fees	$129,032			
Municipal certificates		$52,988	$52,988	
Purchase price	$116,516			$116,516
Earnest money deposit			$227,897	
Real estate tax proration	$119,196	$119,196		
Rent proration			$128,130	$128,130
Security deposits assumed	$214,911			
Prepaid rents		$99,243	$99,243	
Owner's title policy premium	$37,548			$37,548
Lender's title policy premium			$238,636	

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Financial Analysis

Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Resident turnover has averaged 13.3% annually with renewal retention above 94.3%. Debt service coverage ratio was 5.31x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $329,000 or approximately 34.33 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $360,000, representing a 2.5% increase over the prior year.

Average in-place rent is $1,825 per month against an average unit size of 932 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Effective gross income for the trailing period was $61,000, representing a 5.7% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses.

Valuation Discussion

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The going-in capitalization rate of 7.46% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.18x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses.

Effective gross income for the trailing period was $144,000, representing a 8.6% increase over the prior year. Operating expenses totaled $23,000 or approximately 10.46 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 7.59x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.49% reflects the in-place income and the stabilized occupancy assumption.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Average in-place rent is $1,825 per month against an average unit size of 932 square feet. Debt service coverage ratio was 7.24x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Effective gross income for the trailing period was $430,000, representing a 7.6% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. Operating expenses totaled $251,000 or approximately 9.11 per square foot, with real estate taxes representing the largest line item.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$31,460,000			
Insurance escrow deposit		$15,173	$15,173	
Replacement reserve deposit	$175,666			$175,666
Utility deposits			$285,977	
Assumed vendor contracts credit	$176,242	$176,242		
Tenant improvement credit			$217,035	$217,035
Courier / wire fees	$35,899			
Municipal certificates		$177,670	$177,670	
Purchase price	$191,523			$191,523
Earnest money deposit			$194,571	
Real estate tax proration	$89,697	$89,697		
Rent proration			$107,715	$107,715
Security deposits assumed	$201,854			
Prepaid rents		$43,397	$43,397	
Owner's title policy premium	$214,392			$214,392
Lender's title policy premium			$62,397	
Escrow fee	$220,594	$220,594		
Recording fees			$61,607	$61,607
Transfer tax	$224,980			
Survey		$56,858	$56,858	
Legal fees - Buyer	$96,255			$96,255
Legal fees - Seller			$166,142	
Broker commission	$187,726	$187,726		
Loan origination fee			$24,303	$24,303
Lender legal	$247,789			
Appraisal fee		$199,364	$199,364	
Environmental report	$226,346			$226,346
Property condition report			$248,809	

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Operating Performance

Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The going-in capitalization rate of 7.19% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 8.7% annually with renewal retention above 94.9%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Debt service coverage ratio was 7.73x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.78% reflects the in-place income and the stabilized occupancy assumption. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 3.2% annually with renewal retention above 89.1%.

Financial Analysis

Average in-place rent is $1,825 per month against an average unit size of 932 square feet. Operating expenses totaled $86,000 or approximately 21.23 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.62x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Valuation Discussion

Operating expenses totaled $14,000 or approximately 37.55 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $1,825 per month against an average unit size of 932 square feet. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 6.0% annually with renewal retention above 92.0%. The going-in capitalization rate of 5.10% reflects the in-place income and the stabilized occupancy assumption.

Operating expenses totaled $130,000 or approximately 9.49 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,825 per month against an average unit size of 932 square feet.

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Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Security deposits assumed	$31,460,000			
Prepaid rents		$142,579	$142,579	
Owner's title policy premium	$39,462			$39,462
Lender's title policy premium			$242,544	
Escrow fee	$237,955	$237,955		
Recording fees			$82,834	$82,834
Transfer tax	$17,574			
Survey		$276,372	$276,372	
Legal fees - Buyer	$70,882			$70,882
Legal fees - Seller			$194,240	
Broker commission	$19,756	$19,756		
Loan origination fee			$180,164	$180,164
Lender legal	$312,639			
Appraisal fee		$175,844	$175,844	
Environmental report	$43,772			$43,772
Property condition report			$306,031	
Tax escrow deposit	$245,868	$245,868		
Insurance escrow deposit			$287,420	$287,420
Replacement reserve deposit	$60,202			
Utility deposits		$27,174	$27,174	
Assumed vendor contracts credit	$132,411			$132,411
Tenant improvement credit			$76,403	
Courier / wire fees	$271,397	$271,397		
Municipal certificates			$95,643	$95,643
Purchase price	$151,753			
Earnest money deposit		$247,050	$247,050	
Real estate tax proration	$276,421			$276,421
Rent proration			$275,344	

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Financial Analysis

Resident turnover has averaged 7.4% annually with renewal retention above 93.2%. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 7.48% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,825 per month against an average unit size of 932 square feet.

Resident turnover has averaged 12.9% annually with renewal retention above 96.8%. The going-in capitalization rate of 5.95% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $313,000, representing a 11.0% increase over the prior year. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses.

Income and Expense Review

The going-in capitalization rate of 5.64% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.34x on a trailing basis against a covenant minimum of 1.20x.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 10.6% annually with renewal retention above 88.1%. Debt service coverage ratio was 5.68x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses.

Financial Analysis

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $144,000, representing a 11.5% increase over the prior year. Operating expenses totaled $377,000 or approximately 35.93 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. Operating expenses totaled $62,000 or approximately 40.96 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $36,000, representing a 13.4% increase over the prior year. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

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Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Lender legal	$31,460,000			
Appraisal fee		$267,184	$267,184	
Environmental report	$274,407			$274,407
Property condition report			$91,012	
Tax escrow deposit	$85,788	$85,788		
Insurance escrow deposit			$71,645	$71,645
Replacement reserve deposit	$11,194			
Utility deposits		$182,775	$182,775	
Assumed vendor contracts credit	$289,075			$289,075
Tenant improvement credit			$69,653	
Courier / wire fees	$130,584	$130,584		
Municipal certificates			$48,482	$48,482
Purchase price	$175,446			
Earnest money deposit		$123,043	$123,043	
Real estate tax proration	$37,019			$37,019
Rent proration			$24,930	
Security deposits assumed	$189,707	$189,707		
Prepaid rents			$236,865	$236,865
Owner's title policy premium	$129,015			
Lender's title policy premium		$228,249	$228,249	
Escrow fee	$41,086			$41,086
Recording fees			$157,634	
Transfer tax	$83,928	$83,928		
Survey			$217,885	$217,885
Legal fees - Buyer	$237,140			
Legal fees - Seller		$16,869	$16,869	
Broker commission	$231,900			$231,900
Loan origination fee			$72,206	

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Operating Performance

Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Resident turnover has averaged 4.4% annually with renewal retention above 93.0%. Effective gross income for the trailing period was $361,000, representing a 4.8% increase over the prior year. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Management fees are calculated at 6.0% of collected revenue and are included in operating expenses. Operating expenses totaled $179,000 or approximately 23.25 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $1,825 per month against an average unit size of 932 square feet. Resident turnover has averaged 7.4% annually with renewal retention above 95.5%.

Financial Analysis

The going-in capitalization rate of 6.50% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 6.3% annually with renewal retention above 95.1%. Net operating income is projected to grow at a compound annual rate of 8.0% over the hold period. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.45x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.68% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 11.2% annually with renewal retention above 92.1%.

Operating Performance

Operating expenses totaled $192,000 or approximately 29.33 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 5.46% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $443,000, representing a 3.2% increase over the prior year. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 6.87x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Verde Parkview Residences Owner LLC

By: Victor Nguyen Title: President Date: 06/12/2021

_____

Olivia Lopez

By: Marcus Coleman Title: Managing Member Date: 06/12/2021

Exhibit A - Property

Verde Parkview Residences, 2747 Quarry Parkway, Naperville, IL 94981. Parcel containing approximately 14.51 acres, together with all improvements thereon.

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